Prices Keep Climbing: What the New Inflation Report Means

From: PBS NewsHour Mined: 2026-11-11 5 min read

Prices went up again last month, and the latest **inflation** report has little good news for families. The **Consumer Price Index** showed prices rose four-tenths of a percent, driven largely by higher food and energy costs. Housing costs also climbed three-tenths of a percent, accounting for roughly a third of the larger-than-expected monthly increase. Economists now expect **inflation** to run at about 4 percent for the year, outpacing wage growth and squeezing household budgets further.

Inflation means prices rising over time. When it stays high, the money in your pocket buys less than it did before. The **Federal Reserve**, America's central bank, aims for 2 percent **inflation**. The latest report came in hotter than many economists expected.

Austan Goolsbee, president of the **Federal Reserve** Bank of Chicago, called it 'another **distressing** report, borderline disturbing.' He said several things that were supposed to have stopped pushing up costs are still going. The war in the Middle East has led to higher energy prices, and the impact of **tariffs** on goods prices was supposed to have faded by now. It still continues.

Perhaps the most troubling part, Goolsbee said, is that services **inflation** including health care and many other services is not coming down. Unlike energy prices, it is probably not mostly driven by oil prices or **tariffs** or things that might pass quickly. 'We have got a real **inflation** issue on our hands that has been developing, and we're going to have to deal with that,' he said.

Food and housing costs keep climbing, and unlike other expenses, these are not things families can simply cut out of their budgets. Goolsbee says the problem is on everyone's mind in the Midwest, from businesses and nonprofits to ordinary shoppers. He said a farmer in downstate Illinois even sent him a diesel pump, saying prices are killing them.

A newer factor is demand from the AI build-out. Data centers costing trillions of dollars are pushing up the cost of construction, computers, electrical equipment, and computer chips. Goolsbee said this demand is almost like a **stimulus** extra spending that heats up the economy. At the Fed, the main tool is interest rates, and higher rates have made some players in that space respond. His fear is that the overheating could spread beyond AI-related sectors into the prices of a whole bunch of things.

The job market, meanwhile, has been pretty steady. The law gives the Fed two jobs: keep prices stable and maximize employment. The employment side is doing pretty well. The **inflation** side is not. **Inflation** has remained above the Fed's 2 percent target for nearly six years now, raising a worry that businesses and consumers may start accepting high **inflation** as the new normal.

Word Treasure

inflation -- Inflation means prices keep rising over time.

Consumer Price Index -- The Consumer Price Index is a report that tracks how prices

change.

tariffs -- Tariffs are extra taxes on goods brought in from other countries.

stimulus -- A stimulus is extra spending that heats up the economy.

Federal Reserve -- The Federal Reserve is America's central bank, which works to keep prices stable.

distressing -- Distressing means upsetting or worrying.

Background you need

Inflation is what happens when prices rise over time, so the same amount of money buys less than it used to.

In the United States, the Federal Reserve is the central bank, and one of its jobs is to keep inflation near 2 percent by using tools such as interest rates.

When prices for food, energy, and housing climb faster than pay, families feel squeezed, because those are costs they cannot simply skip.

Economists watch a monthly report called the Consumer Price Index to see how fast prices are changing and whether inflation is getting better or worse.

Break it down

LEAD: Prices rose again last month, and the latest inflation report has little good news for families.

KEY EVENT: The Consumer Price Index showed prices up four-tenths of a percent, driven by food and energy.

+- WHO: Austan Goolsbee, president of the Federal Reserve Bank of Chicago
+- WHAT: Inflation is expected to run at about 4 percent for the year, outpacing wage growth
+- WHY: Food, energy, housing, services, tariffs, and demand from the AI data center build-out

EVIDENCE: An Illinois farmer sent Goolsbee a diesel pump, saying prices are killing them.

OPEN QUESTION: Will inflation stay high, and will people start accepting it as the new normal?

Why it matters

When prices rise faster than pay, families have less money for the things they need, so inflation touches everyday life.

Test what you remember

1. By how much did prices rise last month, according to the Consumer Price Index?

(A) Two percent
(B) Three-tenths of a percent
(C) Four percent
(D) Four-tenths of a percent

2. What do economists expect inflation to run at for the year?

(A) About 4 percent
(B) About 2 percent
(C) About 6 percent
(D) About 1 percent

3. What did Austan Goolsbee call the inflation report?

(A) 'A report with no surprises'
(B) 'The best report in years'
(C) 'A very good report'
(D) 'Another distressing report, borderline disturbing'

4. Which costs did Goolsbee say were supposed to have stopped pushing up prices but have not?

(A) The cost of building new schools
(B) The price of movie tickets
(C) The impact of tariffs on goods prices
(D) The cost of running the post office

5. What new factor is pushing up the cost of construction, computers, and chips?

(A) A shortage of truck drivers
(B) Demand from the AI data center build-out
(C) New taxes on farms
(D) A rise in the price of paper

6. How long has inflation stayed above the Federal Reserve's 2 percent target?

(A) Nearly ten years
(B) Nearly six months
(C) Nearly six years
(D) Nearly two years

Answer key (try the quiz first!): 1: D 2: A 3: D 4: C 5: B 6: C

Questions to think about

1. Austan Goolsbee, Federal Reserve Bank of Chicago president: Calls the report distressing and says the Fed has a real inflation issue to deal with.

2. Economists: Expect inflation to run at about 4 percent for the year, outpacing wage growth.

MY THOUGHTS (at least 20 words):